

Compustat US Daily Return Moments: Raw vs. Bessembinder

Effect of the $|\text{ret}| > 10$ clip and the Bessembinder (2023) corrections

Stat	Raw	$\text{ret} < 10$	Bessembinder	Bess. & $\text{ret} < 10$
N	96,759,406	96,695,386	70,102,914	70,102,318
Mean	0.83409	0.00655	0.00171	0.00127
Std	1,737.282	0.20300	0.34873	0.06642
Skewness	5,100.87	27.373	2,332.78	22.569
Excess Kurtosis	29,582,397.70	1,074.01	8,412,285.37	1,942.08
Min	-1.00000	-1.00000	-0.99999	-0.99999
p1	-0.26082	-0.26087	-0.14460	-0.14460
p25	-0.01053	-0.01053	-0.01270	-0.01270
p50	0.00000	0.00000	0.00000	0.00000
p75	0.00906	0.00901	0.01171	0.01171
p99	0.34615	0.33333	0.17188	0.17188
Max	11,099,999.00	10.00000	1,559.00	10.00000

Sample. Daily Compustat returns, US common stock, trfd-recovered (never-dividend securities get trfd = 1). Filters: tpci = '0' (common), prcstd $\in \{3, 4, 10\}$, valid price/currency, excntry = 'USA', primary_sec = 1. No exchange screen (exch_main *not* applied), so OTC-coded rows remain.

Columns. *Raw* — uncorrected. *ret < 10* — Raw, dropping $\text{ret} > 10$. *Bessembinder* — Section 6 decimal corrections + Section 8 deletions (N falls to 70.1M). *Bess. & ret < 10* — Bessembinder, dropping $\text{ret} > 10$.

Notes. The clip removes only the extreme tail ($p1$ – $p99$ unchanged within each correction regime) but collapses the variance-driven moments. Bessembinder caps Max at 1,559 vs. 11.1M raw (Section 8 kills the giant penny→trade spikes); 596 residual $\text{ret} > 10$ obs still dominate Std, Skewness, and Excess Kurtosis until clipped.